
ACCOUNTING 1 – AA015

CHAPTER 7 : ACCOUNTING FOR ACCOUNTS RECEIVABLE**QUESTION 1**

Perniagaan Jaya Sdn Bhd (PJSB) sells and distributes imported teak furniture from Indonesia. The following are information relating to the accounts receivable quoted from the 31 July 2021 balance sheet:

	RM
Accounts receivable	200,000
Allowance for doubtful debt	3,000

The following is the information on the transaction of PJSB on 31 July 2021:

- 1) Encik Ahmad has disappeared after owing PJSB RM500.
- 2) Allowance for doubtful debt as at 31 July 2021 is estimated at 2% of the accounts receivable balance.

REQUIRED:

Prepare journal entries to record adjustments relating to accounts receivable on 31 July 2021 using the allowance method. (Omit explanation)

ACCOUNTING 1 – AA015

QUESTION 2

For the year ended 31 December 2021, Kartina Sdn Bhd (KSB) recorded the following information in the Statement of Financial Position:

	RM
Accounts Receivable balance	42,600
Allowance for doubtful debts	852

The following transactions occurred for the year ended 31 December 2022:

	RM
Sales (40% cash)	255,000
Sales return (all related to credit sales)	4,200
Collection from accounts receivable	172,500
Written off accounts receivable	900

The allowance for doubtful debts for the year ended 31 December 2022 is estimated at 2% of the accounts receivable balance.

REQUIRED:

- 1) Prepare the journal entries to record adjustments relating to accounts receivable as at 31 December 2022.
- 2) Determine accounts receivable balance and allowance for doubtful debts account balance for the year ended 31 December 2022 using T account.

QUESTION 1

Julai 31	Dr Allowance for Doubtful Debt Cr Accounts Receivable	500	500
	Dr Bad debt expense Cr Allowance for Doubtful Debt	*1,490	*1,490

Accounts Receivable			
Balance b/f	200,000	Allowance for Doubtful Debt	500
		Balance c/f	199,500
	<u>200,000</u>		<u>200,000</u>

Allowance for Doubtful Debt			
Accounts Receivable	500	Balance b/f	3,000
Balance c/f (2% x 99,500)	3,990	Bad debt expense	*1,490
	<u>4,490</u>		<u>4,490</u>

QUESTION 2

i)

2021	Dr Accounts Receivable (255,000 x 60%) Cr Sales (to record credit sales)	153,000	153,000
	Dr Sales Returns and Allowances Cr Accounts Receivable (to record sales return)	4,200	4,200
	Dr Cash Cr Accounts Receivable (to record cash receipts from customers)	172,500	172,500
	Dr Allowance for Doubtful Debts Cr Accounts Receivable (to record debts written off)	900	900
Dis 31	Dr Bad debt expenses Cr Allowance for Doubtful Debts (to record bad debt expenses)	408	408

ii)

Accounts Receivable			
Balance b/d	42,600	Sales return and allowances	4,200
Sales	153,000	Cash	172,500
		Allowance for doubtful debt	900
		Balance c/f	18,000
	<u>195,600</u>		<u>195,600</u>

Allowance For Doubtful Debt			
Accounts Receivable	900	Balance b/f	852
Balance c/f (18,000 x 2%)	<u>360</u>	Bad debt expenses	<u>408</u>
	<u>1,260</u>		<u>1,260</u>